Practice workbook · The current account: exports, imports, deficit and surplus

What the current account records, exports and imports, visible versus invisible trade, and the meaning of a deficit or surplus.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-T21-13

1. Question 1 · part c · 2 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2

P 7 2 9 6 9 A 0 2 2 4

1. Question 1 · part c · 2 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

OLevels.com SCHOOL

1. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part a · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 3 · part a · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a only.

3 (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part b · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part b only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2

P 5 8 3 8 4 A 0 2 2 4

4. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part c · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

5. Question 1 · part c · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 6 6 3 3 0 A 0 3 2 0

5. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part c · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 1 · part c · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

(d) Describe **one** reason why governments make benefit payments.

(2)

Figure 1 shows the UK's imports and exports for the year ending July 2019.

	£bn
Imports	689.9
Exports	646.7
Total UK trade	1 336.6

Figure 1

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

6. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part a · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part a only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

6

P 7 1 5 5 7 A 0 6 2 0

7. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part c · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

2

P 7 4 0 5 9 R A 0 2 2 4

8. Question 1 · part c · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

8. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 1 · part c · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle? (1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment? (1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports? (2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 4 0 5 8 R A 0 2 2 4

9. Question 1 · part c · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part c only.

(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

9. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 2 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10. Question 2 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

Erasmus is an organisation that provides education and training for young people in Europe. In 2020, it funded over 640,000 educational experiences.

(e) Explain **one** impact education and training may have on inequality and poverty.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

10. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 1 · part c · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

2

P 7 2 1 3 5 A 0 2 2 8

11. Question 1 · part c · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 2 1 3 5 A 0 3 2 8

11. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL